

Table 54.2 General Statistics

Description	Up Breakout	Down Breakout
Number found	242	235
Reversal (R), continuation (C) occurrence	37% R, 63% C	71% R, 29% C
Reversal, continuation performance	36% R, 33% C	−14% R, −15% C
Average rise or decline	34%	−14%
Standard & Poor's 500 change	11%	−2%
Days to ultimate high or low	220	46
How many change trend?	47%	25%

Days to ultimate high or low. Upward breakouts take an usually long time (about 7 months) to rise 34%. The drop (for downward breakouts) is twice as fast as the rise. That's the kind of velocity difference we've seen for other chart patterns, too. You can lose money faster than you can make it trading stocks.

How many change trend? As good as the 47% number appears for upward breakouts, it's below the 55% average for other chart pattern types (including this one). In other words, 47% of the patterns will see price rise more than 20% after a breakout. The higher the number the harder you should party.

Table 54.3 shows cumulative failure rates for the inverted roof. How many inverted roof patterns fail to see price rise more than 5% after the breakout? Answer: 56 or 23%. That's huge. Over a third will fail to rise more than 10%. It's even worse for downward breakouts where almost half will fail to see price drop more than 10%.

Table 54.4 shows breakout-related statistics.

Breakout direction. The inverted roof pattern doesn't show a preference for a breakout direction.

Yearly position, performance. I mapped where in the yearly price trend the breakout from an inverted roof occurred and overlaid performance.